State of Michigan

Strategic IT Landscape and Market Analysis Report

SLG Strategy Team

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1. Executive Summary & Macro Landscape

The State of Michigan currently navigates a highly complex, rapidly evolving enterprise technology landscape characterized by aggressive executive branch modernization mandates, unprecedented legislative friction, and profound macroeconomic uncertainties. As of early 2026, the administration under Governor Gretchen Whitmer is forcefully advancing its "Make it in Michigan" economic ideology, a strategic positioning designed to transform the state into a premier national hub for defense, aerospace, advanced manufacturing, and artificial intelligence innovation. However, this ambitious technological expansion is actively colliding with the realities of a divided government, an aging physical infrastructure network, and a volatile macroeconomic forecast.

From a fiscal perspective, Michigan's executive budget recommendation for the 2025-2026 fiscal year totals $80.7 billion, with a General Fund/General Purpose (GF/GP) allocation of $14.3 billion. The state has successfully leveraged past economic strength to pay down over $21 billion in debt and amass a record rainy-day fund approaching $2.5 billion. Despite these robust reserves, the immediate economic outlook presents significant headwinds. State revenue forecasting models indicate a deceleration in the broader economy, driven by limited inflation-adjusted wage gains, flat employment numbers, and a shift in consumer behavior away from goods toward services. Furthermore, labor force growth is projected to slow, and new federal tariffs on imported goods are expected to introduce localized inflationary pressures on Michigan's manufacturing base by late 2026. This deceleration directly threatens the sustained growth of the state's tax base, forcing executive agencies to justify every dollar of capital expenditure.

This fiscal caution is massively amplified by intense, ongoing political gridlock. In a profound disruption to the state's traditional procurement and modernization cycles, the Republican-controlled House Appropriations Committee utilized an obscure statutory mechanism in late 2025 to unilaterally block and claw back nearly $645 million in departmental "work projects." These work projects consisted of unspent capital that executive agencies had intentionally rolled over to fund multi-year modernization efforts. By labeling these reserves as departmental "slush funds," the legislature froze a massive tranche of discretionary IT and infrastructure capital. This clawback has escalated into an active constitutional crisis. In early 2026, Attorney General Dana Nessel issued a formal opinion declaring the committee's unilateral disapproval mechanism unconstitutional. While the Michigan Senate voted to restore the canceled funding, a Court of Claims judge, Michael Gadola, recently issued an injunction preventing the state from spending the disputed funds while the constitutionality question is actively litigated. The immediate consequence is a climate of extreme budgetary anxiety among state IT directors.

Simultaneously, Michigan is facing the severe physical limitations of digital expansion. The state has become a major target for hyperscale data center development, driven by the national artificial intelligence boom and the state's previously attractive tax incentive structures. However, this surge has triggered massive local backlash. Driven by fears of energy grid

collapse, noise pollution, and the depletion of local aquifers, at least 19 Michigan municipalities have proposed or enacted moratoriums on new data center construction. State lawmakers are concurrently proposing a statewide, one-year moratorium on data centers to study their long-term implications. This backlash is firmly rooted in the state's failing water infrastructure, which recently received a D+ grade for drinking water and a D for stormwater management from the American Society of Civil Engineers, facing an annual funding deficit of up to $1.1 billion. For enterprise technology strategists, this physical infrastructure crisis signals a paradigm shift: massive, centralized public cloud and hyperscale deployments within the state are facing intense regulatory friction, thereby accelerating a macro trend toward cloud repatriation, distributed edge computing, and highly efficient on-premises data center modernization.

Within this turbulent environment, the Whitmer administration is driving four core administrative goals for the current fiscal year that heavily dictate technology spending:

- **Economic Development & Industrial Innovation:** The state has formalized its economic ambitions through the release of the Michigan Defense and Aerospace Strategic Plan, overseen by the newly established Office of Defense and Aerospace Innovation (ODAI). This seeks to leverage technology to enhance industrial capacity and position Michigan as the "Arsenal of Democracy."
- **Infrastructure Modernization & Resilience:** Operating under "Rebuilding Michigan," the administration is prioritizing the modernization of digital and physical assets, maximizing federal dollars to expand broadband access and deploying advanced mobility infrastructure.
- **Enterprise Artificial Intelligence Integration:** Michigan is moving aggressively to institutionalize AI across the executive branch. The state has established a centralized AI Core Team, implemented formal AI intake processes, and dedicated $10 million from the Information Technology Investment Fund (ITIF) to pilot projects.
- **Digital Equity & Education Accessibility:** To close the economic inequity gap, the state is heavily funding educational technology infrastructure to support individual learning, educator certification, and workforce development tracking.

2. Power Structure & Key Stakeholders

The technological power structure within the State of Michigan underwent a seismic destabilization and subsequent realignment at the intersection of late 2025 and early 2026 following the resignation of long-time CIO/CSO Laura Clark. Consequently, enterprise technology vendors are currently navigating a landscape dominated by "acting" decision-makers.

Name & Title	Sphere of Influence	Recent Public Stances on Technology
Gretchen Whitmer Governor	Financial Purchaser & Policy Mandate	The ultimate executive authority. Champions the "Make it in Michigan" ideology, heavily promoting the state as a destination for advanced manufacturing, AI, and aerospace innovation. Views cybersecurity as a fundamental pillar of protecting state residents.
Kyle Guerrant Acting Director, DTMB	Financial Purchaser & Operational Execution	Appointed in January 2026. Controls the overarching $1.8 billion DTMB budget. Tasked with bridging the gap between state agency business needs and the centralized IT procurement apparatus amid legislative budget cuts.
Eric Swanson Acting Chief Information Officer, State of Michigan	Technical Influencer & Financial Approver	Appointed January 2026. Concurrently serves as the director for DTMB's Center for Shared Solutions. Highly regarded nationally for his entrepreneurial approach to government tech and his focus on facilitating cross-boundary collaboration and inter-agency shared infrastructure.
Rex Menold Chief Security Officer	Technical Influencer & Policy Architect	Transitioned directly from Chief Technology Officer to CSO in January 2026.[1] A 28-year veteran of state IT.[1] Because he intimately understands the state's underlying infrastructure from his time as CTO, security pitches must be highly technical and deeply integrated with the state's overarching architectural design.[1]
Manuel Rosales Acting Chief Technology Officer	Technical Influencer & Architectural Design	Appointed early 2026 to fill the vacancy left by Menold. Responsible for the fundamental architectural direction, infrastructure modernization, and cloud strategy of state systems.

Name & Title	Sphere of Influence	Recent Public Stances on Technology
Rep. Ann Bollin Chair, House Appropriations Committee (R)	Financial Purchaser & Legislative Oversight	Leads the highly fiscally conservative committee that recently utilized obscure statutory rules to claw back $645 million in executive branch "work projects." Her committee demands absolute proof of ROI and actively combats what it perceives as executive branch "slush funds."
Sen. Sarah E. Anthony Chair, Senate Appropriations Committee (D)	Financial Purchaser & Legislative Oversight	Oversees the Senate's budget process. As a member of the Governor's party, she aligns with the executive branch's investment strategies for infrastructure, digital equity, and economic development, acting as a counterbalance to the House.
Rep. Tom Kuhn Chair, House General Government Subcommittee (R)	Financial Purchaser & Direct DTMB Oversight	Chairs the specific subcommittee that oversees the DTMB budget. Indicating a highly skeptical approach to legacy IT maintenance budgets and demanding extensive justification for new appropriations.

3. IT Governance & Service Delivery Model

Operating Model: Strictly Consolidated

The State of Michigan operates under a highly mature, strictly **Consolidated IT Governance Model**. DTMB acts as the sole authorized provider, policy arbiter, and general contractor for all IT services, procurement, hardware standards, and infrastructure across the Executive Branch. DTMB currently supports the business operations of 20 distinct state departments, delivering services to 48,500 state employees, managing 70,000 endpoint devices, and providing a single, secure login for state applications with massive economies of scale.

Friction Points & The Chargeback Dilemma

While the consolidated governance model provides undeniable advantages, its financial mechanics generate immense operational friction due to the **Interdepartmental Grant (IDG) chargeback system**.

1. **The IDG Bottleneck:** Individual executive agencies must independently lobby the legislature for their own programmatic spending authority and then transfer a portion of those funds to DTMB as an IDG to pay for the IT services consumed. Of DTMB's $1.8 billion budget for FY 2025-26, 63% is funded through IDGs. DTMB possesses technical authority but cannot execute modernizations unless the client agency has the budget to pay the chargeback rates.
2. **The Work Project Clawback Crisis:** Agencies historically relied on "work projects" to roll over unspent capital at the end of a fiscal year to fund multi-year IT developments. The recent aggressive clawback of $645 million in work projects by the House Appropriations Committee, followed by an active Court of Claims injunction preventing the state from spending those funds, introduces paralyzing uncertainty. IT directors are suddenly terrified that their multi-year capital reserves can be unilaterally erased, making them highly hesitant to commit to large CapEx hardware purchases. However, if the courts release these funds, it will trigger a sudden, massive capital buying surge across the 18 affected departments.
3. **Federal Funding Disruption:** Disruptions in federal funding pipelines and state match requirements frequently stall modernization initiatives.
4. *(Note: Specific internal service delivery metrics, such as helpdesk ticket resolution times or financial penalties tied to SLAs, are Data Unavailable in public records.)*

4. Financials & Budget Breakdown

Michigan operates on a strict fiscal year that runs from October 1 through September 30. The fourth quarter (Q4) purchasing surge traditionally occurs between July and September, but vendor expectations for end-of-year budget "flushes" must be significantly tempered in 2026 due to the legislature's zero-tolerance policy for capital hoarding.

Total & IT Budget

The FY 2025-2026 Executive Budget Recommendation for the entire State of Michigan totals $80.7 billion gross. Within this, the **DTMB Gross Appropriation is $1.8 billion**. This budget is categorized into recurring operational spend versus project investments:

- **Technology Services (O&M):** $1.02 billion (56% of the DTMB budget). This represents the core IT operational spend (keeping the lights on, subscriptions, maintenance), the vast majority of which is funded through the IDG chargeback model.
- **The Information Technology Investment Fund (ITIF - Capital/Net-New):** The ITIF provides a centralized, dedicated pool of General Fund capital specifically earmarked for enterprise-wide, net-new legacy modernization projects. For the current FY 2025-2026 cycle, the ITIF is funded at a normalized baseline of **$50.0 million**.

Grants & Federal Funding Influxes

Michigan serves as a massive pass-through entity for federal technology and infrastructure grants:

1. **Broadband Equity, Access, and Deployment (BEAD) Program:** In late 2025, Michigan received federal approval for its massive BEAD proposal, unlocking a $1.47 billion total investment ($920 million federal, $550 million private match). With 2026 slated as the pivotal execution year to deploy over 31,000 miles of new fiber to roughly 200,000 unserved/underserved homes and businesses, this represents a massive influx of capital for telecom and edge infrastructure.
2. **State and Local Cybersecurity Grant Program (SLCGP):** Administered by DTMB and the Michigan State Police under the IIJA, providing local municipalities direct funding to procure endpoint protection, continuous testing software, and risk assessments.
3. **Clean Water State Revolving Fund:** In 2024, the state awarded $907.4 million in loans and grants for wastewater and stormwater infrastructure, containing a highly lucrative embedded IT component for SCADA systems and IoT sensors.

5. Strategic Initiatives & Projects (Focus on Top 5)

An analysis of the ITIF legislative reports and recent executive budget testimony reveals the following top funded initiatives for the current cycle:

1. Enterprise Artificial Intelligence Strategy, Platforms, and Pilots

- **The Executive Mandate:** The Whitmer administration is aggressively embracing Generative AI. The state has established a centralized "AI Core Team" which has evaluated over 50 specific use-case requests from state agencies to perceive, synthesize, and infer information faster.
- **The Owning Agency:** DTMB (Centralized).
- **The Funding:** $10,000,000 (ITIF FY25 Appropriation).

- **The Underlying IT Requirement:** Moving AI pilots into production requires AI-ready infrastructure, including HPC nodes equipped with advanced GPUs, sophisticated unstructured data governance platforms, and secure, isolated environments to train models without exposing sensitive citizen data to public cloud tools.

2. Michigan Rehabilitation Services (MRS) Case Management Modernization

- **The Executive Mandate:** Lower barriers to workforce entry and close the economic inequity gap.
- **The Owning Agency:** Department of Labor and Economic Opportunity (LEO).
- **The Funding:** $13,700,000.
- **The Underlying IT Requirement:** The complete retirement of the 25-year-old legacy "AWARE" system and the consolidation of the "FRED" system into a modern COTS solution. Requires massive structured data migration, secure hosting, and robust Identity and Access Management (IAM) for an active caseload of over 40,000 residents.

3. Michigan Online Repository of Educators (MORE) System

- **The Executive Mandate:** Enhance teacher recruitment, improve teacher retention, and provide advanced classroom support by eliminating bureaucratic friction.
- **The Owning Agency:** Michigan Department of Education (MDE) & DTMB Center for Educational Performance and Information (CEPI).
- **The Funding:** $9,200,000 (FY25 Appropriation, bringing total historic investment to $13.6M).
- **The Underlying IT Requirement:** Merging MDE's historically siloed educator certification system with CEPI's registry of educational personnel. Requires sophisticated database consolidation, API gateways for data sharing, and enhanced cybersecurity controls for personnel data.

4. Department of Treasury: Office of Retirement Services (ORS) IT Modernization

- **The Owning Agency:** Department of Treasury / ORS.
- **The Underlying IT Requirement:** The ORS is executing a comprehensive, massive IT modernization of its legacy systems, with an anticipated contract start date of March 31, 2026.

5. DHHS: Michigan Care Improvement Registry (MCIR) Modernization

- **The Owning Agency:** Department of Health and Human Services (DHHS).
- **The Underlying IT Requirement:** A massive transition of the state's immunization registry to a new platform (STC|ONE), scheduled for go-live in 2026. This effort requires intensive data migration, new workflow integrations, and enhanced interoperability with

electronic health record (EHR/EMR) systems.

6. Procurement, Vendor Landscape, & Compliance

Procurement Vehicles & Methods

DTMB Central Procurement Services dictates all technology acquisitions. All state open bids are managed through the centralized SIGMA Vendor Self Service (VSS) system. Michigan heavily utilizes the **MiDEAL** cooperative purchasing agreement allowing local municipalities to leverage state-negotiated contracts, and is an active participant in the **NASPO ValuePoint** organization.

The Battlefield: Vendor Footprints & Aging Infrastructure

- **Storage & Server Infrastructure:** Dell Technologies holds the state's foundational "Storage Platforms and Infrastructure" pre-qualification contract (Contract #: 071B7700099). **This critical contract expires on January 25, 2027**. Entrenched competitors (HPE, Pure Storage, NetApp) will undoubtedly mount aggressive campaigns to rip and replace Dell's footprint throughout 2026. Cisco maintains a strong defensive presence in unified communications and UCS server environments via its NASPO contract, expiring in September 2026.
- **Endpoint Devices & Security:** The state maintains 70,000 PCs/laptops and 23,000 mobile devices. The official DTMB FY26 Laptop Standard document explicitly highlights Dell hardware (Dell Pro Max 14 with Intel Core Ultra 5 vPro) as the baseline standard. With Lenovo facing severe headwinds due to national security concerns, the primary battle is a duopoly between Dell and HP.
- **Cloud Repatriation vs. Data Center Moratorium:** Michigan operates under a nuanced "Cloud Smart" policy. In 2026, the appetite for massive public cloud migrations is waning due to unexpected public cloud costs and intense local regulatory backlash (19 towns enacting moratoriums on hyperscale data centers). This opens the door for highly efficient, dense, on-premises and hybrid cloud architectural revivals.

Compliance & Regulatory Drivers

- **StateRAMP:** Michigan strictly enforces StateRAMP authorization. Vendors must clearly define the shared responsibility model in cloud and hybrid environments.
- **AI Governance (House Bill 4668):** Lawmakers are debating legislation to impose strict safety obligations and risk management protocols on developers of AI models. Any AI infrastructure sold to the state must be auditable and capable of isolated data governance.
- **The Auditor General's Security Scrutiny:** The Michigan Office of the Auditor General has unleashed a wave of highly critical reports regarding DTMB's IT management (specifically mobile device configurations and third-party vendor access). This prioritizes vendors offering built-in, verifiable hardware-level security and Zero Trust architectures.

7. Actionable Dell Opportunities

Funded Alignment: Positioning Dell AI-Ready Infrastructure for the $10M DTMB Mandate

With DTMB actively evaluating over 50 internal AI use-case requests and sitting on a dedicated $10 million ITIF appropriation specifically for AI strategy and pilots, Dell must aggressively position its **PowerEdge XE series servers and Dell Generative AI Solutions**. The critical angle is compliance and data sovereignty in light of impending AI safety legislation (HB 4668). Dell must pitch secure, on-premises or co-located AI inference infrastructure that guarantees absolute data sovereignty, allowing the state to train models on departmental data securely behind the DTMB firewall.

Whitespace & Advisory: Telecom & Edge Infrastructure for the $1.47B BEAD Rollout

With 2026 marking the execution year for Michigan's $1.47 billion BEAD broadband expansion, Dell has a massive whitespace opportunity. The account team should position ruggedized **PowerEdge** edge computing, OEM solutions, and telecom infrastructure to support the ISPs and local municipalities deploying 31,000 miles of new fiber.

Whitespace & Advisory: Leveraging APEX to Navigate Legislative Clawback Uncertainty

The House Appropriations Committee's clawback of $645 million in work projects—currently frozen by a Court of Claims injunction—creates paralyzing uncertainty for CapEx-reliant modernizations. Dell possesses a massive opportunity to introduce **Dell APEX (Infrastructure-as-a-Service)**. By shifting procurement from vulnerable CapEx to predictable, monthly OpEx, Dell can help agencies fund critical infrastructure refreshes directly out of their recurring IDG budgets, immunizing their upgrades from sudden legislative cancellations. Conversely, the team must monitor the litigation closely; if the injunction lifts and funds are released, Dell must be ready to capture the immediate capital buying surge.

Competitive Displacement: The 2027 Storage Renewal Defense and Cloud Repatriation

Dell's overarching Storage Platforms and Infrastructure contract (071B7700099) expires on January 25, 2027. Competitors like HPE and Pure Storage are positioning to rip and replace this footprint in 2026. Dell must execute a highly proactive defense by tying storage renewals to the macroeconomic trend of **Cloud Repatriation**. Dell should identify stable public cloud workloads suffering from budget overruns and present TCO models demonstrating how repatriating them to next-generation **PowerStore** or **PowerFlex** architectures—consumed via APEX—dramatically cuts costs and offers superior data control compared to public cloud alternatives.

Whitespace & Advisory: Securing the Mobile Fleet and Displacing Endpoint Competitors
Leveraging the recent Auditor General's damaging report on DTMB's mobile device security and the state's baseline deployment of the Dell Pro Max 14, Dell must aggressively cross-sell its security portfolio. The Account Executive should lead with **Dell Trusted Device** telemetry and built-in hardware/BIOS security features. Because Acting CSO Rex Menold transitioned directly

from the CTO role, Dell's security pitch must bypass high-level buzzwords and dive deeply into hardware-level architectural integration, proving Dell's superiority in verifiable hardware security over primary competitor HP.